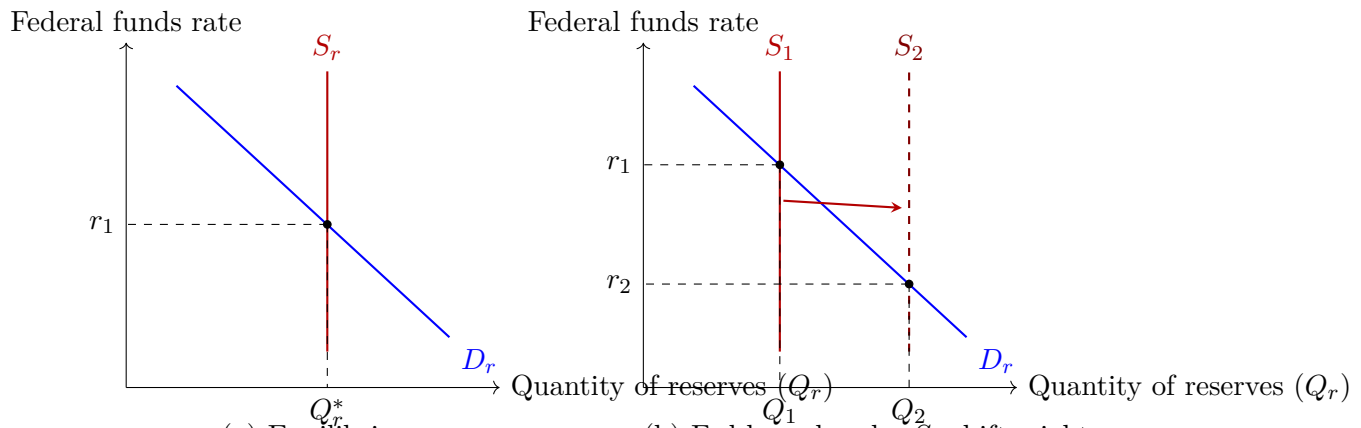

(a) Equilibrium

(b) Fed buys bonds: S_r shifts right